

13. Threat of Entry

Time and Cost of Sizeable entry	Very High
Economics of Scale	High Economies of Scale
Distribution strength required	High
Cost Advantages to Existing Players	No
Switching Costs for Customers	Habit
Asset Specificity in the Industry	None
Proprietary Product Difference	Low
Network Effect of the Product	No
Protection against new entrants	Can only be introduced by IPL governing body
Brand Identity	High
Reputation of existing firms	Reputation needed
Response by incumbents on new entry	No response

14. Competitive Rivalry

Number of competitors in the industry	8 Players
How concentrated is the industry?	Concentrated
Differences in product quality	Homogeneous
Cost of switching products	Habit and Preferences
Is the industry growing?	Yes; growing industry
Overcapacity in the industry	No overcapacity